Real Governance

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About $20M in user stETH [verified: DefiLlama TVL] sits behind one anonymous 5-of-9 Safe. The Safe can move it in one transaction, with no delay and no vote.

The problem, in Morpheus numbers. The owner is a 5-of-9 Gnosis Safe, `0x1FE0...eBa1E` [verified: on-chain]. It owns the Base compute diamond `0x6aBE...030a` [verified: on-chain] and the capital contracts on Ethereum and Arbitrum. Three powers each reduce to one `onlyOwner` call. Mint is uncapped: the owner adds itself with `updateMinter`, then `mint` (`MOROFT.sol:50,61`) [verified: repo], and no supply ceiling is enforced. Any contract holding staked funds is UUPS with `_authorizeUpgrade` gated only by `onlyOwner` (`DistributionV6.sol:776`) [verified: repo], so it can be swapped in one block. And `editPool` / `editPoolLimits` (`DistributionV6.sol:102,118`) [verified: repo] rewrite the emission split that directs 76% of issuance [verified: published tokenomics]. None of it is votable. `MOROFT` is a LayerZero `OFT`, not `ERC20Votes`; `supportsInterface` lists `IERC20` and `IOAppCore`, not `IVotes` (`MOROFT.sol:35`) [verified: repo]. The token holds no checkpoints for any governor to count. The stETH is withdrawable 1:1 [verified: repo]. This is not a solvency risk. It is an authority risk.

The fix, named to a repo. Adopt `lux/dao`. Keep the Safe. Put it behind a timelock the token controls. `ModuleGovernorV1` executes through the Safe rather than replacing it. A proposal draws vMOR quorum and clears a timelock delay before it can run. vMOR is `VotesERC20StakedV1`, a non-transferable `ERC20Votes` position minted by locking MOR. MOR stays the reward asset, unchanged. `FreezeGuardMultisigV1` lets vMOR holders freeze a rogue Safe during and after hand-off. Lux runs this today under a 3-of-5 with the timelock path deployed alongside the Safe [verified: lux/dao/governance.md]; `zoo/vote` is the same stack white-labeled through one config. A Morpheus `config/morpheus.json` is the third. First move: Lux deploys vMOR, the timelock and `ModuleGovernorV1`; a core contributor, under the existing 5-of-9, transfers `owner()` of `MOROFT`, `DistributionV6`, the builder contracts and the Base diamond to the timelock. From that block, every mint, upgrade and pool edit is propose, vote, delay, execute. Bid discovery and settlement are untouched.

The outcome, quantified. The $20M [verified] moves from one instant signature to a public, timelocked, votable process. Best case, assuming a 48-hour timelock and quorum at 4% of locked MOR, the parameters Lux runs in production [illustrative: stated parameters]: a malicious or mistaken change is visible for two days before it can execute, where today the window is zero, and no privileged action passes without a holder vote on-chain. MOR becomes credibly decentralized. That is the precondition a raise clears first: authority sits with locked holders behind a delay, verifiable, not with an unelected multisig. The one real failure mode is thin participation. If holders do not lock, the quorum binds nothing; that risk is named, not solved.

Why Lux. Lux and Zoo already run this exact stack in production under two brands, so Morpheus is a third config and a set of `transferOwnership` calls, not a new system to build or audit from zero.

ADOPT-03. Companion LP-318 (key custody, separate from governance authority). • `research@lux.network`